

Q3FY22 Result Update | Footwear

Equity Research Desk

Retail Pick-Up the Key

9-Feb-22

Result were better than expectations on topline but margins below expectations

- Revenues increased by 37% YoY to Rs 8413.02mn (QoQ +37%) (*Over Q3FY20 +1.4%*)
- EBIDTA increased by 44% YoY to Rs 1686mn (QoQ +42%) (*Over Q3FY20 -36%*)
- EBIDTA margins stood at 20% v/s 19.05% YoY (*Q3FY20 was 31.65%*)
- Raw Mat to Revenue stood at 47.3% v/s 48.5% YoY and 47.1% QoQ
- Employee Cost increased by 29.4% YoY to Rs 1049.6mn and 17% QoQ basis
- Other Expenses to Revenue stood at 20.1% v/s 17.5% YoY and 18.9% QoQ
 - Rent concession for Q3FY22 stood at Rs 47.85mn v/s 85.61mn YoY and 263.79mn QoQ (H1FY22 @ Rs 494.38mn v/s 775.76mn YoY)
 - Rent Concession for 9MFY22 = Rs 542.23mn v/s 861.37mn. Accounted in Other Income NIL 9MFY22 v/s 300.42mn 9MFY2
- PBT stood at Rs 972.8mn up by 142.6% YoY and 94.5% QoQ (-44.3% over Q3FY20)
- Pat stood at Rs723.6mn +138% YoY and 95% QoQ (-38.3% over Q3FY20)

Outlook: Downside limited, longterm Investor should HOLD

- Retail is yet to pick-up v/s Pre-covid levels. Channel Mix of retail v/s Wholesale stood at 80:20 as against ~90:10 Pre-Covid.
- Gross Margins would expand when retail contribution increases. ~2 to 3% gross margins contracted on account of un-favourable channel and product mix
- Casualization of product portfolio is good; but having a right product at right price with similar level of historic margins is a task.
- Formal wear is bouncing back, but still below Pre-Covid.

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E
Net sales	30,561	17,085	24,630	37,923	39,722
growth (%)	4.3	(44.1)	44.2	54.0	4.7
EBIDTA	8,321	1,622	4,101	9,175	9,945
Margins	27	9	17	24	25
PAT(adj)	3,290	(847)	1,024	4,866	5,530
growth (%)	(0.0)	(125.7)	(220.8)	375.4	13.6
EPS (Rs)	25.6	(6.6)	8.0	37.9	43.0
P/E (x)	74.0	(287.5)	238.0	50.0	44.0
P/B (x)	12.9	13.9	13.5	10.9	9.0
EV/EBITDA (x)	28.1	143.4	56.8	25.1	22.8

Source: Company

Rating	TP (Rs)	Up/Dn (%)
HOLD	1,935	2

Market data

Current price	Rs	1,895
Market Cap (Rs.Bn)	(Rs Bn)	244
Market Cap (US\$ Mn)	(US\$ Mn)	3,259
Face Value	Rs	5
52 Weeks High/Low	Rs	2,262/1,264
Average Daily Volume	('000)	365
BSE Code		500043
Bloomberg		BATA.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	52.96	52.96
Public	47.04	47.04
Total	100	100

Source: BSE

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Bata Conference Call KTA's**RETAIL BUSINESS**

- Retail Sales trend in Q3FY22 over Q3FY20: Oct @ 90%, Nov @ 90%, Dec @ 103%
- Schools business is yet to witness full recovery
- Overall Retail ASP @ Rs 970/- (+10% Pre-covid)
 - Sneakers ASP @ ~Rs 2000/- & Floatz @ Rs 1300/-
 - **Channel Mix:** Retail: Wholesale ratio @ 80:20 in Q3FY22 v/s 90:10 Precovid

SNEAKER Proposition (a pillar of growth)

- Sneaker proposition strengthened with 300 styles and 9 brands in store and bata.in
- Sneaker Sales mix @ 19.3% v/s 17.9% YoY
- Sneaker in Q3FY22 grew by 104% v/s Retail Sales @ 96% i.e. (+8% higher)
- Sneaker ASP grew by 108% @ ~2000 Rs
- Sneaker Studio @ 15 stores
- Sneaker Pilot sales mix grew from 20.4% to 26.8% over Q3FY21

STORES & Distribution

- 1557+ Exclusive Stores in 638 towns
- Franchise store additions +34 total @ 284 (largest quarterly expansion)
- 200 stores i.e. 15% of stores to be renovated in next 12 months. Capex allotted Rs120mn to Rs 150mn.
- Towns Covered 1005 v/s 966 in Sept-21
- 28% distributors reached v/s 23% in Sept-21 and 19% in June-21. Potential remaining 72%
- Expansion in the current year would be mainly franchise led.
- Women store additions +25
- LTL growth was healthy.

GST Increase and actions

- Increase from 5% to 12% for footwear below Rs 1000/-
- Action taken in 30 to 45 days with price increase and communication campaign
- GST led discount cost stood at Rs 70mn.

Other KTA's

- Volume over Pre-Covid were marginally higher since contribution from wholesale i.e. distribution and franchise business increased
- Marketing spends +34% QoQ
- E-commerce contributed Rs 900mn i.e. 11% to Revenue
- Formal and Fashion recovered significantly
- Main reason for incremental Rs 535mn in other expense include
 - Rise in market expenses Rs 60mn
 - Lower rent concession from Rs 264mn to Rs 47.8mn QoQ
 - Higher variable expenses due to higher sales.

Quarterly Snapshot

Particulars (Rs Mns)	Q3FY22	Q3FY21	Growth	Q2FY22	Growth
Net Sales	8413.02	6147.38	36.9	6141.21	37.0
Other Income	135.38	132.07	2.5	114.57	18.2
TOTAL INCOME	8548.4	6279.45	36.1	6255.78	36.6
Cost of Materials Consumed	-741.44	-674.56	9.9	-704.97	5.2
Purchase of Stock in Trade	-2924.97	-823.54	255.2	-2608.22	12.1
Changes in Inventories	-315.66	-1481.93	(78.7)	419.48	(175.3)
Employee Cost	-1049.59	-810.81	29.4	-896.81	17.0
Rent		-112.09			
Other Expenses	-1695.14	-1073.08	58.0	-1159.62	46.2
EXPENDITURE	-6726.8	-4976.01	35.2	-4950.14	35.9
EBIDTA	1821.6	1303.44	39.8	1305.64	39.5
EBIDTA (Excl O. Income)	1686.22	1171.37	44.0	1191.07	41.6
Less: Depreciation	-615.46	-652.33	(5.7)	-585.86	5.1
PBIT	1206.14	651.11	85.2	719.78	67.6
Less: Interest Cost	-233.36	-250.16	(6.7)	-219.56	6.3
PBT (Before Exceptional)	972.78	400.95	142.6	500.22	94.5
Exceptional		-46.1			
PBT (Post Exceptional)	972.78	354.85	174.1	500.22	94.5
Tax	-249.19	-96.88	157.2	-129.73	92.1
PAT (Reported)	723.59	257.97	180.5	370.49	95.3
PAT (Adjusted)	723.59	304.07	138.0	370.49	95.3
Equity	642.64	642.64	-	642.64	-
FV	5	5		5	
EPS (on adjusted PAT)	5.6	2.4	138.0	2.9	95.3
OPM	20.0%	19.1%		19.4%	
NPM (Reported PAT)	8.5%	4.1%		5.9%	
Tax Rate	-25.6%	-27.3%		-25.9%	
% of Total Operating Income					
RAW MATERIALS	-47.3%	-48.5%		-47.1%	
Employee Cost	-12.5%	-13.2%		-14.6%	
Rent	0.0%	-1.8%		0.0%	
Other Expenses	-20.1%	-17.5%		-18.9%	
EXPENDITURE	-80.0%	-80.9%		-80.6%	

Valuation & Outlook

In case of Bata pick-up retail business contribution would be the key as rise in wholesale business (i.e. franchise and MBO) which has lower ASP's has led to stress on gross margins.

We rollover our estimates to FY24 earnings. At CMP of Rs 1895 Bata trades at 50x FY23e EPS of Rs 38 and 44x FY24e EPS of Rs 43. We believe the downside is limited, as sales are on an improvement trajectory on lower base.

We had recommend "book partial profits" @ Rs 2234 (post Q2FY22) and now **revise it to "HOLD"** (*with a target price of Rs 1935*) for long-term investors as the gestation period could be longer for profitability to come back to historic levels.

Financials

Bata India Ltd											
P&L (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Operating Incom	30,561.1	17,084.8	24,630.1	37,922.6	39,721.5	Net Profit	3,289.5	(893.1)	1,023.5	4,866.1	5,530.3
						Add: Dep. & Amort.	2,958.0	2,647.5	2,317.1	2,449.1	2,537.2
						Cash profits	6,247.5	1,754.4	3,340.6	7,315.2	8,067.5
Raw Materials	(12,965.8)	(8,375.0)	(11,504.8)	(17,254.8)	(17,676.1)	(Inc)/Dec in					
Employee Cost	(3,764.2)	(3,398.2)	(3,834.6)	(4,218.1)	(4,639.9)	-Sundry debtors	30.8	(161.0)	51.4	(296.7)	(49.3)
Other Expenses	(5,510.1)	(3,689.8)	(5,189.2)	(7,274.3)	(7,460.3)	-Inventories	(343.1)	2,654.0	(1,340.0)	(3,382.6)	(512.6)
Total Expenses	(22,240.2)	(15,463.0)	(20,528.6)	(28,747.2)	(29,776.3)	-Loans/advances	(191.7)	1,238.1	(1.3)	(1.5)	(1.7)
Operating Profit	8,321.0	1,621.8	4,101.5	9,175.4	9,945.2	-Current Assets	(276.8)	(489.8)	76.5	(248.0)	(272.8)
Depreciation	(2,958.0)	(2,647.5)	(2,317.1)	(2,449.1)	(2,537.2)	-Sundry creditors	(1,126.3)	(636.6)	330.7	1,937.6	162.7
PBIT	5,363.0	(1,025.7)	1,784.3	6,726.3	7,408.0	-Others	(302.0)	163.3	116.2	120.5	133.6
Other income	686.8	940.9	500.4	640.0	772.8	Change in working capital	(2,209.1)	2,768.1	(766.5)	(1,870.6)	(540.0)
Interest	(1,177.4)	(1,035.5)	(916.4)	(860.9)	(787.4)	CF from Oper. activities	4,038.4	4,522.4	2,574.1	5,444.6	7,527.5
Extraordinary Items	-	-	-	-	-	CF from Inv. activities	(13,513.4)	(285.7)	(1,576.5)	(2,006.1)	(1,864.1)
Profit before tax	4,872.4	(1,120.3)	1,368.3	6,505.4	7,393.4	CF from Fin. activities	10,711.1	(2,907.8)	(1,298.4)	(1,225.5)	(1,414.8)
Provision for tax	(1,582.8)	273.3	(344.8)	(1,639.4)	(1,863.1)	Cash generated/(utilised)	1,236.1	1,329.0	(300.8)	2,212.9	4,248.5
Reported PAT	3,289.5	(847.0)	1,023.5	4,866.1	5,530.3	Cash at start of the year	8,403.1	9,639.2	10,968.2	10,667.4	12,880.3
Extraordinary Items	-	-	-	-	-	Cash at end of the year	9,639.2	10,968.2	10,667.4	12,880.3	17,128.8
Minority Interest	0.0	0.0	0.0	0.0	0.0		-	-	-	-	-
Adjusted PAT	3,289.5	(847.0)	1,023.5	4,866.1	5,530.3						
Balance Sheet	FY20	FY21	FY22E	FY23E	FY24E	Ratios	FY20	FY21	FY22E	FY23E	FY24E
Equity capital	642.6	642.6	642.6	642.6	642.6	OPM	27.2	9.5	16.7	24.2	25.0
Reserves	18,296.6	16,938.3	17,447.7	21,671.2	26,558.8	NPM	10.5	(4.7)	4.1	12.6	13.7
Net worth	18,939.2	17,580.9	18,090.3	22,313.8	27,201.4	Tax rate	(32.5)	(24.4)	(25.2)	(25.2)	(25.2)
Def. Tax Liab.+Minori	-	-	-	-	-	Growth Ratios (%)					
Longterm Debt	-	-	-	-	-	Net Sales	4.3	(44.1)	44.2	54.0	4.7
Short Term Debt	-	-	-	-	-	Operating Profit	74.4	(80.5)	152.9	123.7	8.4
Total debt	-	-	-	-	-	PAT	(0.0)	(125.7)	(220.8)	375.4	13.6
Lease Liability	10,353.5	8,596.7	8,015.2	7,529.7	6,886.6						
CAPITAL EMPLOYED	29,292.7	26,177.5	26,105.5	29,843.5	34,088.0						
Total fixed assets	3,564.1	3,237.7	3,058.0	3,083.3	3,030.7	Per Share (Rs.)					
Goodwill	-	-	-	-	-	Net Earnings (EPS) (FV5)	25.6	-6.6	8.0	37.9	43.0
Investments	-	-	-	-	-	Cash Earnings (CPS)	48.6	13.7	26.0	56.9	62.8
Inventories	8,736.8	6,082.8	7,422.8	10,805.4	11,317.9	Dividend	4.0	4.0	4.0	5.0	5.0
Sundry debtors	632.7	793.7	742.3	1,039.0	1,088.3	Book Value	147.4	136.8	140.8	173.6	211.7
Cash & bank	9,639.2	10,968.2	10,667.4	12,880.3	17,128.8	Free Cash Flow	113.7	40.7	20.5	41.6	57.3
Loans & advances	1,246.6	8.5	9.8	11.3	13.0						
Other current assets	2,066.4	2,556.2	2,479.7	2,727.7	3,000.5	Valuation Ratios					
Sundry creditors	(5,033.9)	(4,397.3)	(4,728.0)	(6,665.6)	(6,828.3)	P/E(x)	74.0	(287.5)	238.0	50.0	44.0
O. Current Liabilities	(752.6)	(917.2)	(1,008.9)	(1,109.8)	(1,220.7)	P/B(x)	12.9	13.9	13.5	10.9	9.0
Provisions	(2,245.4)	(1,832.5)	(1,740.2)	(1,662.4)	(1,555.8)	EV/EBIDTA(x)	28.1	143.4	56.8	25.1	22.8
Working capital	14,289.9	13,262.4	13,844.9	18,025.9	22,943.5	Div. Yield(%)	0.2	0.2	0.2	0.3	0.3
Deferred Tax Assets	1,109.9	1,384.0	1,470.0	1,470.0	1,470.0	FCF Yield(%)	6.0	2.1	1.1	2.2	3.0
Miscellaneous exp.	-	-	-	-	-						
CAPITAL DEPLOYED	18,963.8	17,884.0	18,372.9	22,579.3	27,444.3	Return Ratios (%)					
						ROE	17.4	(4.8)	5.7	21.8	20.3
						ROCE (Excluding Financial Liability)	28.3	(5.8)	9.9	30.1	27.2
						ROCE (Excluding Cash & Bank)	27.3	-6.7	11.6	39.7	43.7

Source: Dalal & Broacha Research, Company

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